most vulnerable, and push costs to them into the future. A good sequencing is one that gives gains to the economy early, and thus boosts GDP growth.

Anne Krueger, Jagdish Bhagwati and T.N. Srinivasan have emphasized the connections between internationalization and the local elite. In the initial condition, we are trapped in a domestic political economy, where large domestic distortions go with a narrow elite that defends those distortions. Policy actions that open up the economy in all possible dimensions are a good first step because they reshape the incentives of the local elite in favour of taking on the domestic barriers to high productivity.

A powerful theme in this political economy thinking lies in early actions that reshape the map of interests. Initial actions should build a new coalition of beneficiaries, who will support the completion of the reform.

Example 47: The problems of managing the exchange rate

Suppose the government manages the exchange rate. Private persons will see the power of the government in changing their profit rates, and organize themselves to lobby for a favourable exchange rate policy. As an example, in China, a large export sector sprang up under a distorted exchange rate, and lobbied to preserve the distortion.

These problems are avoided if the first stage in the reform is to achieve a floating exchange rate, i.e., to get the nascent pockets of internationalization to think that lobbying for exchange rate depreciation is not a choice.

A related trap in sequencing is the order in which exchange rate reform versus foreign currency borrowing reform takes place. If domestic agents build up large foreign borrowings early, they tend to lobby in favour of restrictive exchange rate policy. The correct sequence is to first get to a floating exchange rate, and only then open up to foreign currency debt by local firms.